A.S. Bopanna and V. Ramasubramanian, set aside the NCLAT order.

In its order, the apex court virtually upheld the position that had been taken by the NCLT. It said that Mistry's removal could not be termed as prejudicial or oppressive. Mincing no words, it opined: 'A person who tries to set his own house on fire for not getting what he perceives as legitimately due to him, does not deserve to continue as part of any decision-making body (not just the Board of a company).' Overturning the order annulling the conversion of the Tata Sons from a public to a private company, the apex court said: 'NCLAT should have raised the most fundamental question [of] whether it would be equitable to wind up the Company and thereby starve to death the charitable Trusts, especially on the basis of un-charitable allegations of oppression and prejudicial conduct.' It also found the 'approach' adopted by the NCLAT unusual, saying that while the NCLT dealt with 'every one of the allegations', the 'NCLAT, curiously focussed attention' on Mistry's removal, the voting rights of the directors nominated by the Trusts and making Tata Sons a private company. The court added that the appellate tribunal had used terms that the Companies Act does not 'recognise' and that it had 'summarised in one paragraph … its conclusions on some of the allegations, without any kind of reasoning'. It also observed that the 'NCLAT did not expressly overturn the finding of facts recorded by NCLT' on some of the more important allegations. Finally, it remarked on the strangeness of the fact that 'despite there being no prayer for reinstatement of CPM [Cyrus Pallonji Mistry] either as a Director or as an Executive Chairman of Tata Sons, NCLAT directed the restoration of CPM as Executive Chairman of Tata Sons and as Director of Tata Companies for the rest of the tenure'. The judges 'fail[ed] to understand' 'how NCLAT could have granted a relief not apparently sought for (though wished for)'.

On the other hand, the Supreme Court appreciated how Ratan had willingly stepped down from the position of chairman upon retirement and actively identified Mistry as his successor. It also opined that the Tata Group was guided by the principle of corporate governance even without statutory compulsion and didn't display dictatorial control over the management of its affairs.

The apex court also declined the Shapoorji Pallonji Group's suggestion that it may be allowed to exit Tata Sons at a fair value of its shares. This relief was sought too late, it felt. The court refused to be drawn into the valuation determination debate and asked both the parties to settle it out of